ASEAN Primer

Economies, Politics, Policies, and Markets



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ASEAN Primer: ASEAN Economy

ASEAN PRIMER

Size, growth drivers, fiscal policy and politics across ASEAN-6

As of October 2026

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Five Things to Know about ASEAN's Economy Today

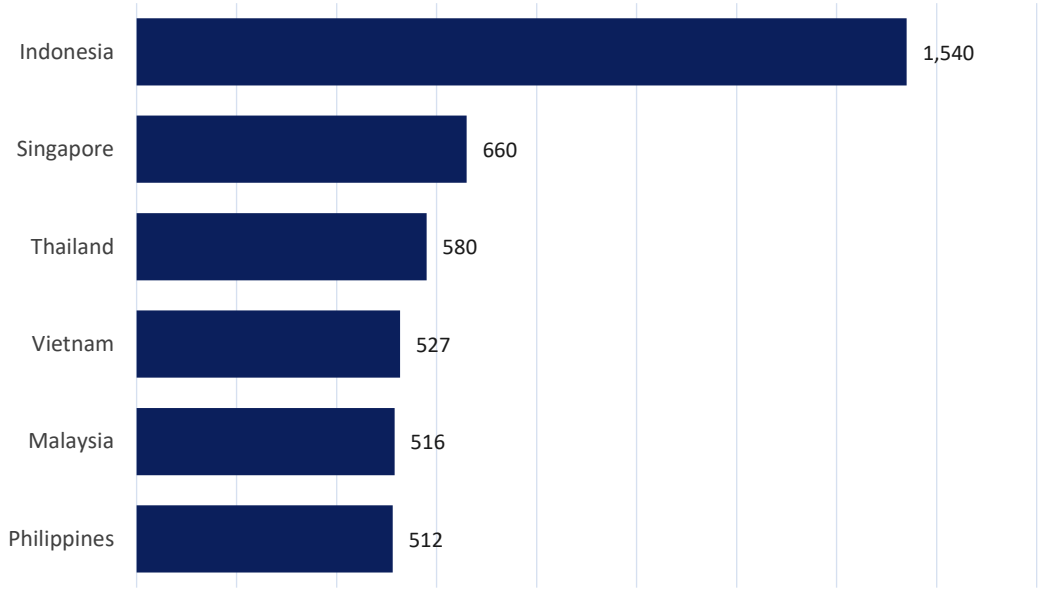
1	**Size and speed differ** Indonesia is about a third of ASEAN-6 GDP, but Vietnam is the fastest grower (9.0% in the first nine months of 2026).
2	**The AI and electronics cycle is the common engine** Vietnam, Malaysia and Singapore are being upgraded; Thailand should benefit too.
3	**Forecasters cut ASEAN GDP on the back of Oil crisis early on** We expect an upward revisions for Vietnam, Singapore, Malaysia and Thailand in the 13 October WEO.
4	**Fiscal room is narrowing** Thai public debt is 66.9% of GDP against a 70% ceiling; Malaysia and the Philippines run deficits above 3%.
5	**Political risk is uneven.** Political risk is low in Singapore, centralized in Vietnam, stabilised in Thailand; elevated in Indonesia and the Philippines.

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Sources: IMF WEO; ADB ADO Sep 2026; World Bank EAP Update Oct 2026; national statistics offices and finance ministries

Economic Size

NOMINAL GDP, 2026F (US$ BN)



GDP PER CAPITA, 2026F (US$)

Singapore	107,758
Malaysia	15,085
Thailand	8,105
Indonesia	5,362
Vietnam	5,115
Philippines	4,443

$4.3tn

ASEAN-6 GDP, 2026f

36%

Indonesia's share of ASEAN-6 GDP

Indonesia is the region's scale market; Singapore is its income and financial hub.

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Source: IMF World Economic Outlook, April 2026 (2026 projections, current US$)

GDP Growth Projection

Real GDP growth, %	Latest actual	IMF 2026f	IMF 2027f
Vietnam*	Q3: 9.95% · 9M: 9.01%	7.1 (Apr)	6.7 (Apr)
Malaysia*	Q2: 6.0%	4.7 (Jul)	4.3 (Apr)
Singapore*	Q2: 5.9% · MTI 4.5–5.5%	3.5 (Apr)	2.7 (Apr)
Indonesia	Q2: 5.3%	5.0 (Jul)	5.1 (Jul)
Thailand*	Q2: 1.9% · NESDC 2.2%	1.9 (Jul)	2.1 (Apr)
Philippines	Q2: 2.3%	3.9 (Jul)	5.8 (Apr)

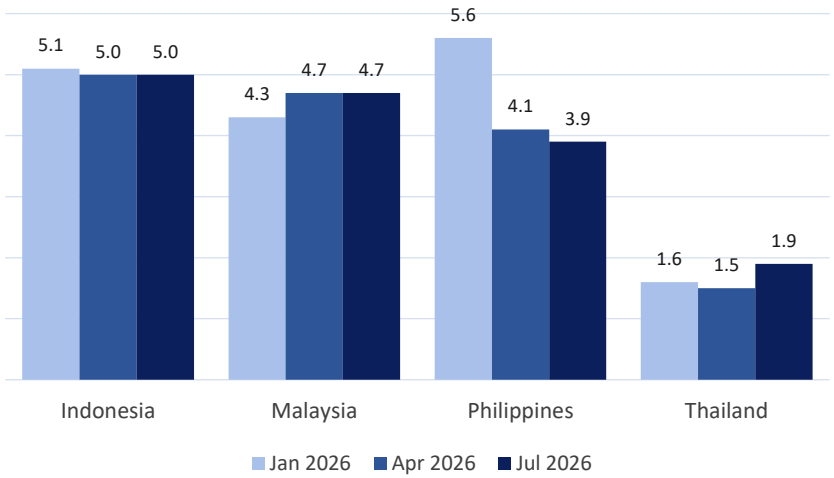
Consensus clusters for slow and steady growers;
** the outlook for tech exporters (Singapore and Malaysia) stand high chance to be revised up.

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Sources: IMF WEO Apr 2026 and Jul 2026 Update; GSO/NSO Vietnam, DOSM/BNM, MTI, BPS, NESDC, PSA

IMF GDP Projection

IMF 2026 GROWTH FORECAST BY EDITION, %



2026 ASEAN-5 GDP projection: 4.2% (Jan) → 4.1% (Jul). The cut came from the Middle East energy shock, led by the Philippines (−1.7pp since January).

WHY WE EXPECT UPGRADES FOR AI EXPORTERS (BBLAM VIEW)

	IMF Latest Projection	Actual Data
Vietnam	7.1 (Apr)	9.01% (9M)
Singapore	3.5 (Apr)	6.1% (H1)
Malaysia	4.7 (Jul)	5.7% (H1)
Thailand	1.9 (Jul)	2.4% (H1)

The evidence: actual growth is running above the IMF's numbers. The IMF named Thailand and Malaysia among the world's four largest net exporters of AI hardware in July.

Downside risk: the Philippines (Q2 2.3%; IMF 3.9). Indonesia likely little changed.

BBLAM view: expect upward revisions for Vietnam, Singapore, Malaysia and Thailand in the 13 October WEO.

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Sources: IMF WEO Jan, Apr, Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; MTI; DOSM; NSO Vietnam; NESDC.

What Drives each Economy: Six Different Growth Engines

Vietnam



INVESTMENT AND MANUFACTURING EXPORTS

Gross capital formation +15.2% in H1.
Registered FDI US$50.4bn in 9M 2026, up 76%.

Malaysia



ELECTRONICS AND DATA CENTRES

E&E exports +43.9% in H1, nearly half of all exports.
Data-center construction adds to investment.

Singapore



MANUFACTURING, TRADE AND FINANCE

Q2 growth led by manufacturing, wholesale trade and finance & insurance, on AI-related demand.

Indonesia



DOMESTIC DEMAND AND STATE SPENDING

Government consumption +16.0% in Q2; household consumption +5.1%. Net exports a drag.

Thailand



TECH EXPORTS AND PRIVATE INVESTMENT

Goods exports +14.8% and private investment +11.6% in H1; tourist arrivals −4.9%.

Philippines



SERVICES AND CONSUMPTION

Services are about 60% of GDP and jobs.
Public infrastructure spending −32.2% in H1.

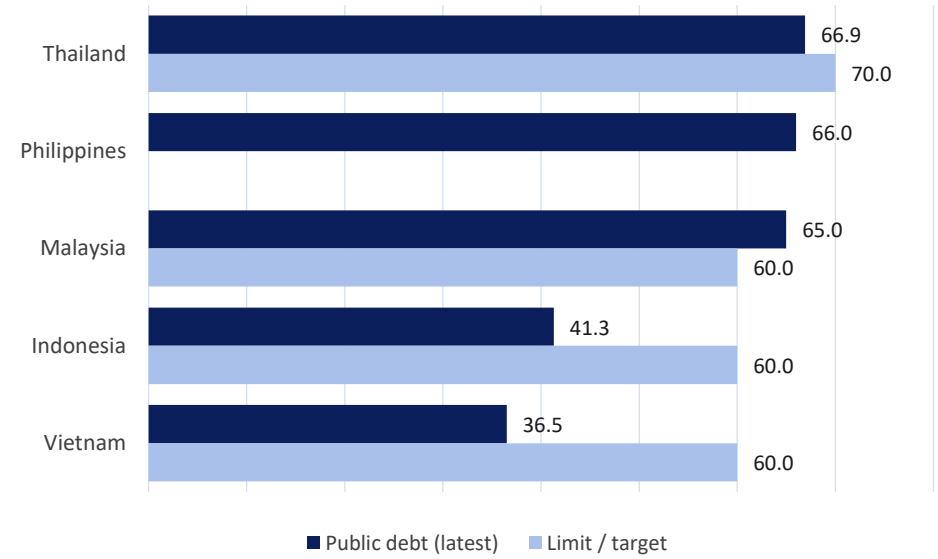
Three economies ride the AI hardware cycle; Indonesia and the Philippines depend on domestic demand.

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Sources: ADB Asian Development Outlook Sep 2026 (H1 2026 data); MTI Singapore (Q2 2026); National Statistics Office of Vietnam (9M 2026 FDI)

Fiscal Policy: Three Economies are Running Short of Fiscal Room

PUBLIC DEBT VS. LEGAL LIMIT OR TARGET, % OF GDP



Philippines: no statutory debt ceiling. Singapore not shown as it runs budget surpluses.

LITTLE ROOM

Thailand 66.9% vs 70% ceiling
FY2027: THB 3.788tn spending, THB 788bn deficit; debt seen at 69.4% by end-FY2027.

Malaysia ~65% vs 60% FRA target
1H26 deficit 4.2% of GDP vs 3.5% target; Budget 2027 tabled 9 Oct.
FRA stands for Public Finance and Fiscal Responsibility Act 2023

Philippines 66% of GDP; deficit 5.4%
Deficit target 5.1% in 2027, plan to achieve 3.5% by 2030.

MORE ROOM

Indonesia 41.3% vs 60% cap
2027 draft deficit 2.40% (legal cap 3%); watch revenue delivery after FM (Finance Minister) change.

Vietnam ~36–37% vs 60% cap
2026 deficit 4.2%; constraint is disbursement speed, not debt.

Singapore FY2026 surplus S$8.5bn (1.0% of GDP).

Thailand has about three points of debt headroom left; new stimulus must come from private investment.

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Sources: Thai MOF/PDMO, PBO; MOF Malaysia, The Star; ADB ADO Sep 2026 (PH, VN); Indonesia MOF/DJPPR; Singapore Budget 2026; Vietnam = midpoint of 36–37% plan

Political Situation: Stable Core, Noisier Indonesia and Philippines

Singapore



LOW RISK

PM Lawrence Wong (also Finance Minister).
Stable government;
FY2026 budget in surplus.

Vietnam



CENTRALISED

To Lam as Party chief and President since 7 Apr 2026.
PM is Le Minh Hung, a former central bank governor.
Target: 10% growth.

Thailand



STABILISED

PM Anutin Charnvirakul re-elected 19 Mar 2026; coalition holds ~292 of 499 seats.
US trade deal still pending; 12.5% tariff hope to seal deal by Nov 2026.

Malaysia



WATCH

PM Anwar Ibrahim.
BN won Johor (48 of 56 seats); PH Party lost to Negeri Sembilan. General Election (GE) due by 2028.

Indonesia



ELEVATED

President Prabowo.
Finance minister was replaced twice in 13 months (latest was 14 Sep 2026)

Philippines



ELEVATED

President Marcos Jr.
Flood-control corruption probe (~₱545bn of projects) still ongoing
VP Sara Duterte is now in impeachment trial.

Policy continuity is what investors are pricing.

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Sources: Vietnam Government Portal; Thai Election Commission; Malaysian state election results; Reuters/AP; Singapore Budget 2026. Risk labels are BBLAM's assessment.

What to Watch Next

CALENDAR



Malaysia Budget 2027

Does the deficit target fall below 3.5%, and how much fuel-subsidy cost is absorbed?

IMF–World Bank Annual Meetings, Bangkok

Thailand in the global spotlight; policy messages on reform and investment.

IMF October 2026 WEO

Updated growth, inflation and fiscal forecasts for all six economies.

Q3 GDP releases; MSCI review of Indonesia

Q3 GDP data will provide an update on regional growth momentum, while MSCI's review of Indonesia could have implications for foreign portfolio flows and market positioning.

The 13 October WEO is the key refresh for this packet's forecast slide.

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Sources: IMF WEO release schedule; MOF Malaysia; MSCI 2026 Market Classification Review

ASEAN Primer: Financial Markets

Benchmark indices, market size, sector leaders, market structure and currencies: SET, STI, JCI, FBM KLCI, PSEi and VN-Index

As of October 2026

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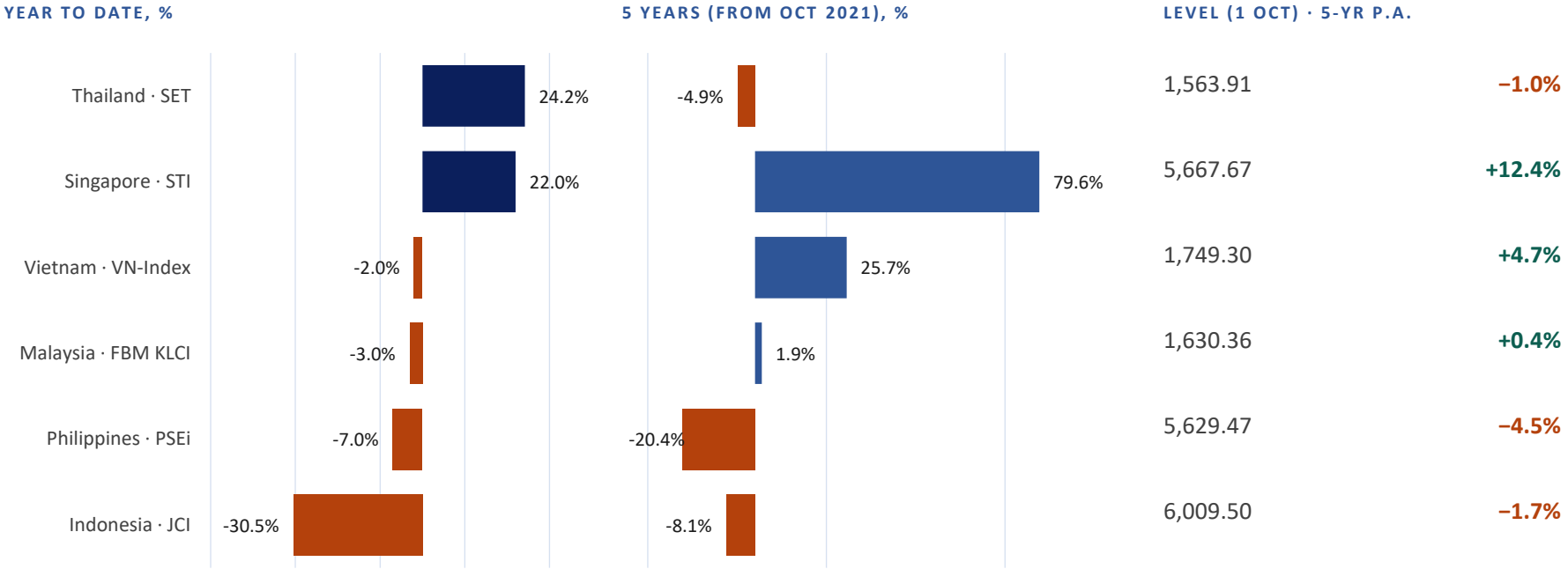
Five Things to Know about ASEAN Markets Today

1	**A split year** Thailand (+24%) and Singapore (+22%) lead; Indonesia's JCI is down -30.5% year to date
2	**Over five years, only Singapore has compounded strongly** (+80%); the Philippines is down about 20%.
3	**Indices are concentrated.** Three banks are over half of the STI; ICTSI dominates the PSEi; the Vingroup pair is a fifth of Vietnam's market while Delta determines SET direction.
4	**Index providers are a live risk and opportunity** MSCI reviews Indonesia in November; FTSE began adding Vietnam on 21 September.
5	**Oil splits the currencies** With Brent up about 100% this year, the baht, peso and rupiah are down 6–7% against the dollar.

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Sources: ADB Daily Market Watch (1 Oct 2026 close, Bloomberg data); exchanges; MSCI; FTSE Russell

Index Performance: Thailand and Singapore Lead in 2026



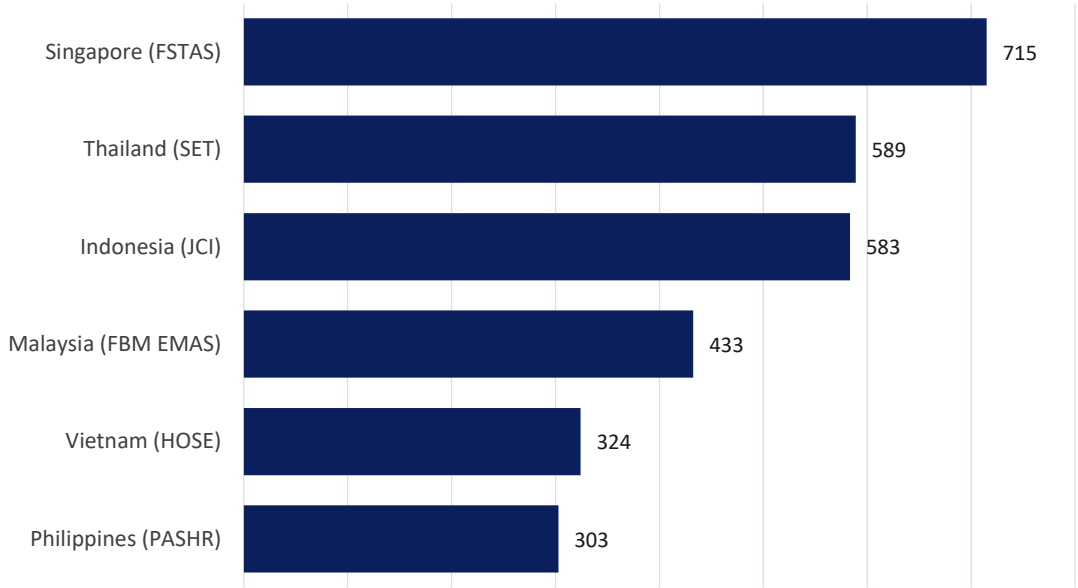
Thailand's rally only recovers past losses; Singapore is the only market compounding over both periods.

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Source: ADB Daily Market Watch (Bloomberg data), closes of 1 Oct 2026 and 13 Oct 2021; 5-yr figures are BBLAM calculations. Local-currency price returns, excluding dividends.

Market Cap: Singapore Has Overtaken Indonesia

MARKET CAP OF BROAD MARKET INDICES, US$ BN (9 OCT 2026)



Market / index	Mcap (local)	FX	US$ bn
Singapore FTSE ST All-Share	SGD 915bn	1.2801	**715**
Thailand SET Index	THB 19.7tn	33.52	**589**
Indonesia JCI	IDR 10,431tn	17,883	**583**
Malaysia FBM EMAS	MYR 1.77tn	4.0857	**433**
Vietnam VN-Index (HOSE)	VND 8,388tn	25,872	**324**
Philippines PSE All Shares	PHP 19.0tn	62.82	**303**

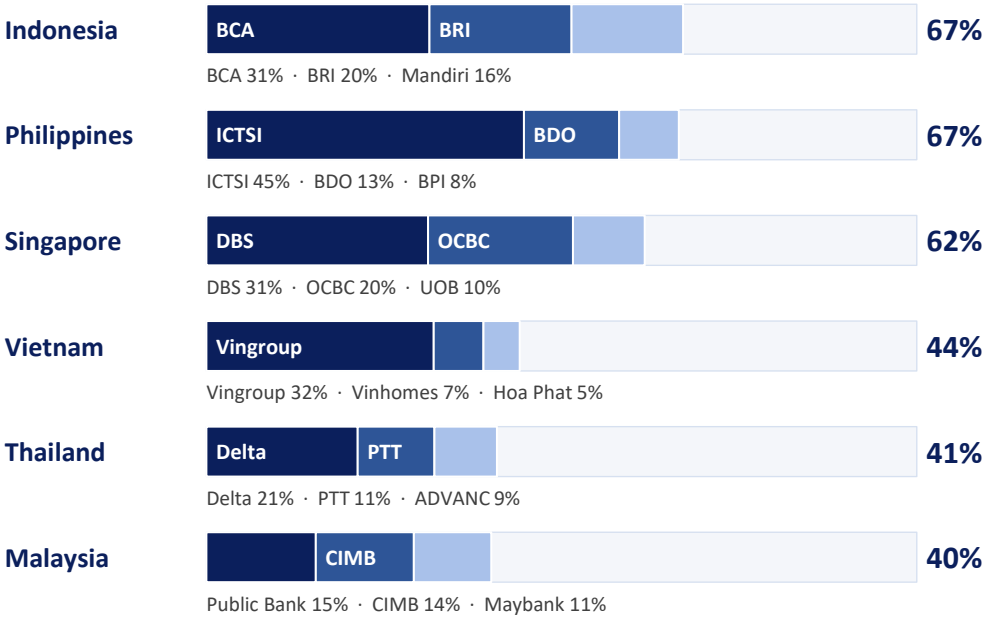
Indonesia lost about a third of its market value this year

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Source: Bloomberg, 9 Oct 2026. Full mcap of all-share index constituents at spot FX; excl. Thai mai, Malaysian ACE, SGX Catalist; VN = HOSE only.

Sectors and Main Players: Each Index Is Driven by a Few Names

TOP-3 STOCKS AS % OF THE MARKET'S MSCI INDEX



BEST-PERFORMING SECTOR, YEAR TO DATE

STI Industrials
ST Engineering, Yangzijiang

SET Industrials & Resources
Outperformed SET YTD (end-Aug)

VN-Index Real estate
Vingroup group: ~70% of H1 gains

FBM KLCI Technology
Tech index up 30%+ (early Aug)

PSEi Services (to confirm)
Led by port operator ICTSI

JCI Financials
Smallest fall: −17.5% in H1

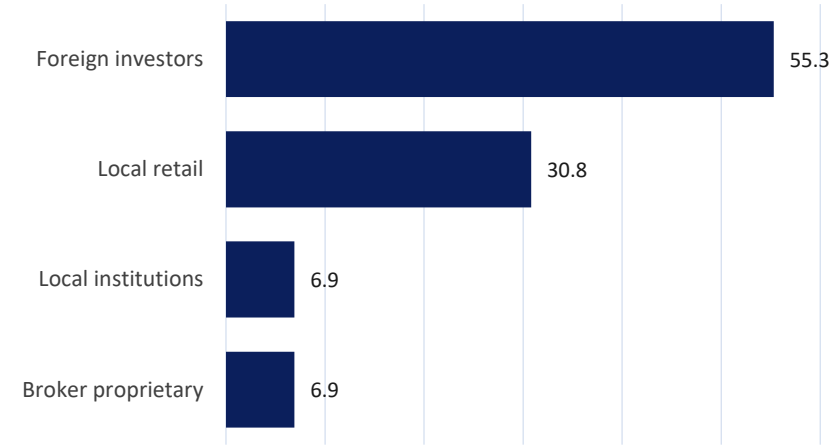
MSCI indices hold large and mid caps foreign investors can buy; Indonesia's has only 9 stocks, which raises its concentration.

Buying the index means buying a handful of names: banks in Singapore, Indonesia and Malaysia, ICTSI in Manila, Vingroup in Vietnam.

Sources: MSCI factsheets (30 Sep 2026); SET; Bursa/The Edge; Vietnam News; FSMOne; PSE; IDX via Bisnis. Sector data Jun–Aug 2026.

Market Structure: Who Trades, and What Index Providers Are Doing

THAILAND: SHARE OF TRADING VALUE, AUG 2026 (%)



Vietnam, by contrast, is retail-led: foreigners are only about 10–15% of trading.

Indonesia · MSCI review, Nov 2026

MSCI may consult on moving Indonesia from Emerging to Frontier if reforms on free float and ownership transparency fall short.

Vietnam · FTSE upgrade, 21 Sep 2026

Now Secondary Emerging; inclusion in four tranches, starting at 10% and completing in September 2027.

Malaysia · KLCI may widen to 50 stocks

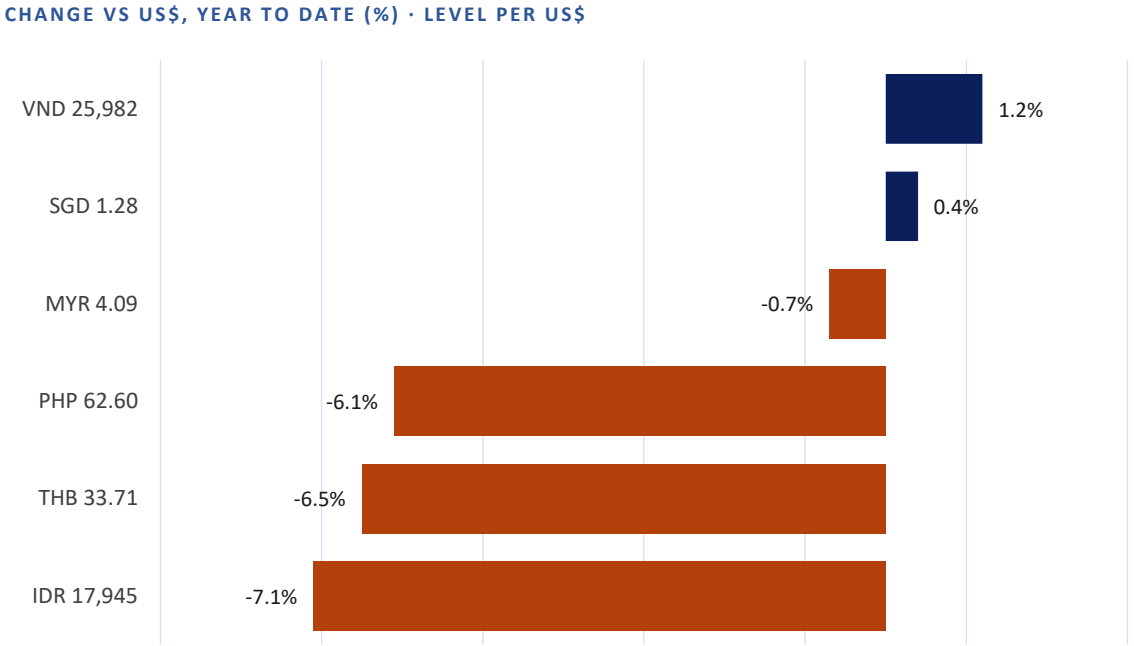
FTSE Russell's proposal would lift coverage to about 70% of the Main Market, from about 59%.

Foreign flows drive the SET; index-provider decisions drive flows into Indonesia and Vietnam.

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Sources: SET market report (Aug 2026); Vietnam market data (Navisoft); MSCI 2026 Market Classification Review; FTSE Russell (Apr 2026); Bursa Malaysia (The Star, Jul 2026)

Currencies: Oil Importers' Currencies Have Weakened Most



US$103.4

Brent crude per barrel, up 103% this year

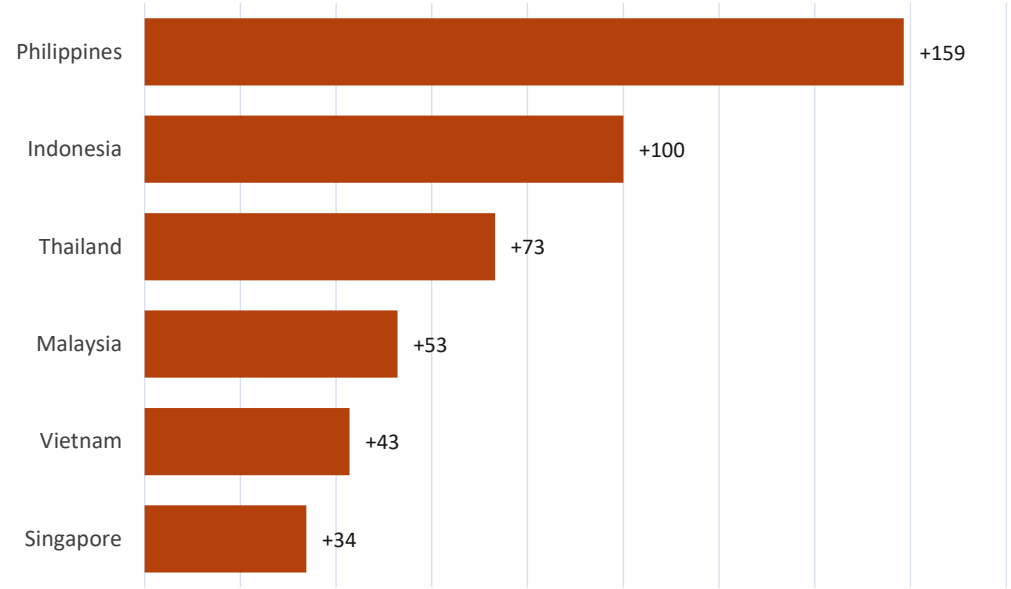
Malaysia is a net energy exporter. Meanwhile Thailand, the Philippines and Indonesia import more energy.

The oil shock also explains most of this year's ASEAN currency split.

Source: ADB Daily Market Watch, 2 Oct 2026 (Bloomberg and Haver data; 1 Oct close). The dong's gain should be checked against Bloomberg before final use.

Bond Yields: Every 10-Year Yield Is Higher This Year

10-YEAR LOCAL-CURRENCY GOVERNMENT BOND YIELD, CHANGE YTD (BP)



LEVEL (%) AND WHAT DROVE IT

Philippines 7.66%

Inflation peaked at 7.2%; BSP hiked 75bp (Apr–Aug).

Indonesia 7.16%

BI hiked 100bp to 5.75% to defend the rupiah.

Thailand 2.39%

Rose despite a policy-rate cut to 1.00% in February.

Malaysia 4.03%

OPR held at 2.75%; ringgit stable.

Vietnam 4.47%

Credit-led growth; inflation ~4.5%.

Singapore 2.45%

Lowest yield; safe-haven, surplus budget.

Higher yields across the board due to increased expected inflation and surged UST

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Sources: AsianBondsOnline (ADB), 2 Oct 2026 close; Indonesia: Investing.com 24 Sep vs 6.03% end-2025 (DBS), BBLAM calc.; ADB ADO Sep 2026.

ASEAN Primer: Country Deep Dive

ASEAN PRIMER

Country-specific updates on economic developments, politics and policies, and financial markets

As of October 2026

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ASEAN PRIMER

Indonesia



ASEAN’s scale market: a domestic-demand economy hit by a confidence shock in 2026.

US$1.54tn	5.3%	–30.5%	–7.1%
GDP 2026f · #1 of ASEAN-6	GDP growth, Q2 2026	JCI, year to date	Rupiah vs US$, YTD

A confidence shock, not a growth shock: Indonesia still grows ~5%, but investors want policy credibility back.

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Data as of 8 October 2026; market data to 1 October 2026. Sources on the following slides.

Indonesia: Who Runs It, What It Makes, What It Has Been Through

WHO RUNS IT

HEAD OF STATE & GOVERNMENT
President Prabowo Subianto

FINANCE MINISTER
Suahasil Nazara (since 14 Sep 2026)

CENTRAL BANK
Bank Indonesia
Governor Destry Damayanti (since 2 Sep 2026; first woman)
BI-Rate 5.75%

WHO OWNS IT AND WHAT IT MAKES

RICHEST (FORBES)
Hartono brothers (Djarum, BCA) topped the 2025 list at US$43.8bn;
Prajogo Pangestu (Barito) richest on real-time data, US$17.5bn (Aug 2026)

KEY SECTORS
Commodities (coal, nickel, palm oil), banks, consumption

TOP FARM PRODUCTS
Palm oil (world #1), rubber, cocoa, coffee

HISTORY OF SHOCKS

CRISES
1997–98 Asian Financial Crisis: systemic banking crisis, rupiah collapse

POLITICAL TURMOIL
1998 fall of Suharto; 2001 impeachment of President Wahid

2026
BI governor resigned (Jul);
finance minister changed twice in 13 months; 7th reshuffle 1 Oct

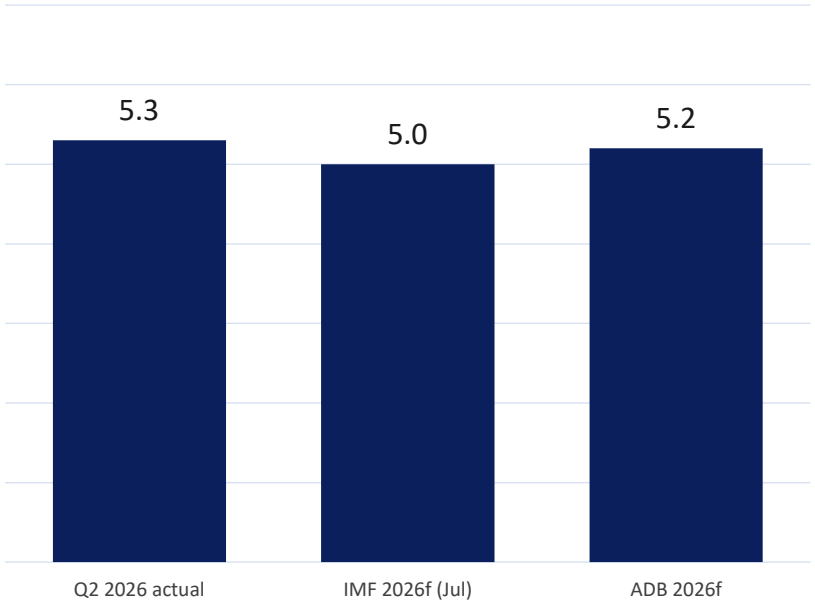
Commodity wealth, family conglomerates and a history of crises shaped by 1997–98.

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Sources: government and central bank sites; Forbes 2025–26 rich lists; IMF Laeven–Valencia crisis database; Reuters/AP; FAO/USDA.

Indonesia: The Economy

REAL GDP GROWTH: LATEST ACTUAL VS 2026 FORECASTS, %



SIZE

US$1.54tn GDP (#1 of 6, 36% of ASEAN-6);
US$5,362 per head (#4 of ASEAN-6)

GROWTH ENGINE

Domestic demand and state spending: government consumption +16.0% in Q2, households +5.1%

FISCAL

Debt 41.3% of GDP vs 60% cap;
2027 draft deficit 2.40% (legal cap 3%)

POLITICS · ELEVATED

Frequent cabinet changes, including the finance minister and the central bank governor

OUR VIEW

IMF forecast likely little changed on 13 Oct; the risk is confidence, not growth

Fiscal room is fine; credibility is the issue after changes at the finance ministry and the central bank.

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Sources: IMF WEO Apr/Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; national statistics offices, finance ministries and central banks. Risk label and view are BBLAM's.

Indonesia: Financial Markets

−30.5%

Index YTD

#6 of ASEAN-6

−8.1%

5 years (−1.7% p.a.)

#4 of ASEAN-6

−7.1%

Rupiah vs US$ YTD

#6 of ASEAN-6

+100bp

10Y yield YTD (7.16%)

#2 rise in ASEAN-6

US$601bn

Market cap (Jun)

#2 of ASEAN-6

5.75%

BI-Rate (+100bp in 2026)

TOP-3 STOCKS AS % OF MSCI INDONESIA INDEX



67%

BCA (Bank) 31% · BRI (Bank) 20% · Mandiri (Bank) 16%

Sector: All three are Financials (banks)

BEST-PERFORMING SECTOR, YEAR TO DATE

Financials

Smallest fall: −17.5% in H1; every sector down

KEY MARKET-STRUCTURE POINT

MSCI review, November 2026: MSCI may consult on moving Indonesia from Emerging to Frontier if free-float and ownership-transparency reforms fall short. MSCI Indonesia now has only 9 stocks.

After a 30% fall, the November MSCI decision is the swing factor for foreign flows.

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Sources: ADB DMW / AsianBondsOnline (1–2 Oct 2026); MSCI (30 Sep 2026); exchanges; central banks. Ranks among ASEAN-6. *Verify.

ASEAN PRIMER

Malaysia



An AI-hardware exporter with a stable currency, but limited fiscal room.

US$516bn	6.0%	−3.0%	−0.7%
GDP 2026f · #5 of ASEAN-6	GDP growth, Q2 2026	FBM KLCI, year to date	Ringgit vs US$, YTD

Malaysia is an AI-hardware winner: strong exports and a steady ringgit, with fiscal discipline still the constraint.

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Data as of 8 October 2026; market data to 1 October 2026. Sources on the following slides.

Malaysia: Who Runs It, What It Makes, What It Has Been Through

WHO RUNS IT

HEAD OF GOVERNMENT
PM Anwar Ibrahim

HEAD OF STATE
King Sultan Ibrahim (rotating five-year term)

CENTRAL BANK
Bank Negara Malaysia
Governor Abdul Rasheed Ghaffour
OPR 2.75%

WHO OWNS IT AND WHAT IT MAKES

RICHEST (FORBES 2026)
Robert Kuok, 102 (Kuok Group: agribusiness, hotels, data centers), US$13.6bn

KEY SECTORS
Electronics and semiconductors, oil and gas, data centers, palm oil

TOP FARM PRODUCTS
Palm oil (world #2), rubber

HISTORY OF SHOCKS

CRISES
1997 Asian Financial Crisis: systemic banking crisis; capital controls and ringgit peg in 1998

POLITICAL TURMOIL
1969 riots and emergency rule;
2018 first change of government;
2020 government collapse ("Sheraton Move"); three PMs in 2020–22

2026
State elections show tension inside the governing coalition

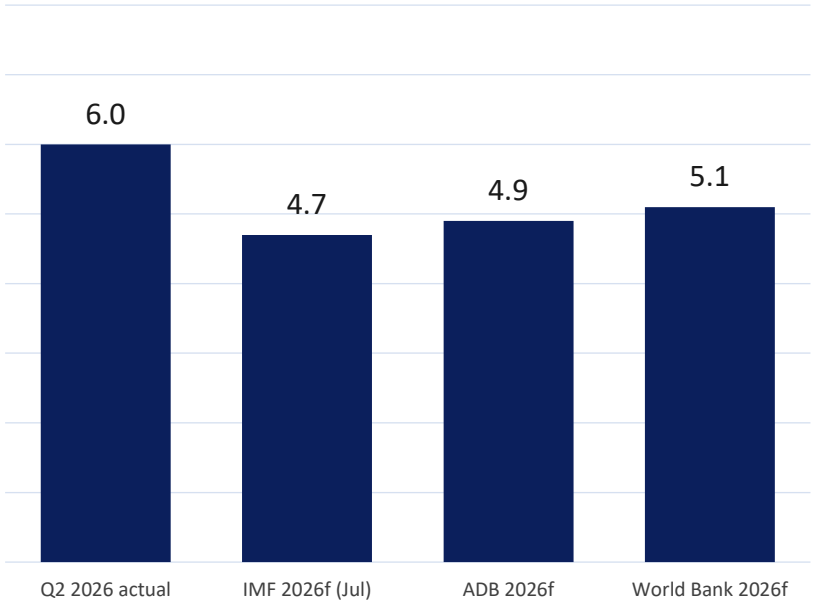
Malaysia has turned palm oil and oil wealth into an electronics and data-center hub.

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Sources: government and central bank sites; Forbes 2025–26 rich lists; IMF Laeven–Valencia crisis database; Reuters/AP; FAO/USDA.

Malaysia: The Economy

REAL GDP GROWTH: LATEST ACTUAL VS 2026 FORECASTS, %



SIZE

US$516bn GDP (#5 of ASEAN-6);
US$15,085 per head (#2 of ASEAN-6)

GROWTH ENGINE

Electronics and data centres: E&E exports +43.9% in H1, nearly half of all exports

FISCAL

Debt ~65% of GDP vs 60% FRA (พรบ.) target;
1H26 deficit 4.2% vs 3.5% target; Budget 2027 starts 9 Oct

POLITICS · WATCH

BN won Johor (48 of 56 seats); PH lost Negeri Sembilan;
General Election due by 2028

OUR VIEW

Expect an IMF upgrade on 13 Oct: H1 growth 5.7% vs IMF 4.7%

Growth is beating forecasts; the fiscal rule is the constraint to watch in Budget 2027.

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Sources: IMF WEO Apr/Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; national statistics offices, finance ministries and central banks. Risk label and view are BBLAM's.

Malaysia: Financial Markets

−3.0%
Index YTD
#4 of of ASEAN-6

+1.9%
5 years (+0.4% p.a.)
#3 of of ASEAN-6

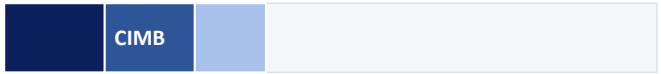
−0.7%
Ringgit vs US$ YTD
#3 of of ASEAN-6

+53bp
10Y yield YTD (4.03%)
#4 rise in ASEAN-6

US$520bn
Market cap (RM2.12tn, Jun)
#4 of ASEAN-6

2.75%
OPR (unchanged)

TOP-3 STOCKS AS % OF MSCI MALAYSIA INDEX



Public Bank (Bank) 15% · CIMB (Bank) 14% · Maybank (Bank) 11%

Sector: All three are Financials (banks)

BEST-PERFORMING SECTOR, YEAR TO DATE

Technology
Bursa tech index up 30%+ by early Aug on AI demand

KEY MARKET-STRUCTURE POINT

FBM KLCI may widen from 30 to 50 stocks: FTSE Russell's proposal would lift coverage to about 70% of the Main Market, from about 59%.

A bank-heavy index lags a booming tech sector; the KLCI widening could help.

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Sources: ADB DMW / AsianBondsOnline (1–2 Oct 2026); MSCI (30 Sep 2026); exchanges; central banks. Ranks among ASEAN-6. *Verify.

ASEAN PRIMER

Philippines



A consumer and services economy facing an inflation and governance shock.

US$512bn	2.3%	–7.0%	–6.1%
GDP 2026f · #6 of ASEAN-6	GDP growth, Q2 2026	PSEi, year to date	Peso vs US$, YTD

The weakest growth story in ASEAN this year: inflation, rate hikes and a public-works freeze.

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Data as of 8 October 2026; market data to 1 October 2026. Sources on the following slides.

Philippines: Who Runs It, What It Makes, What It Has Been Through

WHO RUNS IT

HEAD OF STATE & GOVERNMENT
President Ferdinand Marcos Jr.
(term to 2028)

VICE PRESIDENT
Sara Duterte
(facing Senate impeachment trial)

CENTRAL BANK
Bangko Sentral ng Pilipinas
Governor Eli Remolona Jr.
RRP rate 5.00%

WHO OWNS IT AND WHAT IT MAKES

RICHEST (FORBES 2026)
Enrique Razon Jr. (ICTSI ports, Bloomberry, Prime Infra), US$21.8bn; overtook the Sy siblings (SM)

KEY SECTORS
IT-BPM outsourcing, remittances, consumption and retail, ports

TOP FARM PRODUCTS
Coconut products, bananas, pineapple; a large rice importer

HISTORY OF SHOCKS

CRISES
1983 debt crisis;
1997 Asian Financial Crisis (systemic banking crises in both)

POLITICAL TURMOIL
Two presidents removed by "People Power" (1986, 2001);
several coup attempts in the late 1980s

2026
Flood-control corruption probe (~₱545bn of projects);
inflation peaked at 7.2%

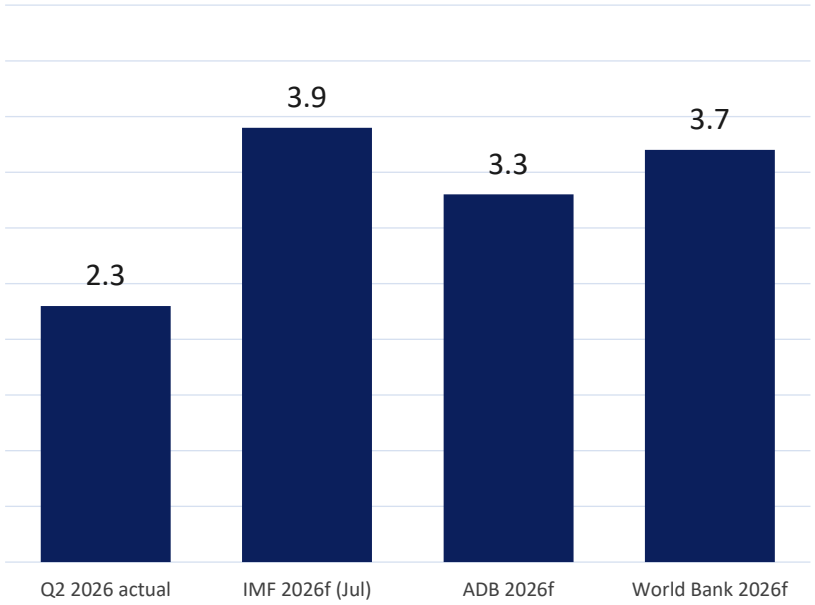
A services and remittance economy with a history of “People Power” politics.

BBLAM

Sources: government and central bank sites; Forbes 2025–26 rich lists; IMF Laeven–Valencia crisis database; Reuters/AP; FAO/USDA.

Philippines: The Economy

REAL GDP GROWTH: LATEST ACTUAL VS 2026 FORECASTS, %



SIZE

US$512bn GDP (#6 of ASEAN-6);
US$4,443 per head (#6 of ASEAN-6)

GROWTH ENGINE

Services (~60% of GDP and jobs) and consumers;
public infrastructure spending −32.2% in H1

FISCAL

Debt 66% of GDP; deficit target 5.4% (2026), 5.1% (2027), 3.5% by 2030;
no legal debt ceiling

POLITICS · ELEVATED

Corruption probe has frozen public works; President–Vice President split

OUR VIEW

Downside risk to the IMF's 3.9%; ADB already at 3.3%

Growth has slowed to its weakest since the pandemic; the deficit stays above 5%.

BBLAM

Sources: IMF WEO Apr/Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; national statistics offices, finance ministries and central banks. Risk label and view are BBLAM's.

Philippines: Financial Markets

−7.0%
Index YTD
#5 of ASEAN-6

−20.4%
5 years (−4.5% p.a.)
#6 of ASEAN-6

−6.1%
Peso vs US$ YTD
#4 of ASEAN-6

+159bp
10Y yield YTD (7.66%)
#1 rise in ASEAN-6

US$313bn
Market cap (₱18tn+)
#6 of ASEAN-6

5.00%
RRP rate (+75bp in 2026)

TOP-3 STOCKS AS % OF MSCI PHILIPPINES INDEX



67%

ICTSI (Ports) 45% · BDO (Bank) 13% · BPI (Bank) 8%

Sector: Industrials (ports) + two Financials (banks)

BEST-PERFORMING SECTOR, YEAR TO DATE

Services

Led by port operator ICTSI, the first PSE stock above ₱2tn

KEY MARKET-STRUCTURE POINT

One-stock market: ICTSI alone is about 45% of the MSCI Philippines index

The worst five-year market in the region, now dominated by one company, ICTSI.

BBLAM

Sources: ADB DMW / AsianBondsOnline (1–2 Oct 2026); MSCI (30 Sep 2026); exchanges; central banks. Ranks among ASEAN-6. *Verify.

ASEAN PRIMER

Singapore



The region’s financial hub: richest, most stable and best-performing over five years.

US$660bn	5.9%	+22.0%	+0.4%
GDP 2026f · #2 of ASEAN-6	GDP growth, Q2 2026	STI, year to date	SGD vs US$, YTD

Singapore is ASEAN’s anchor: the richest, most stable economy and the best five-year market.

BBLAM

Data as of 8 October 2026; market data to 1 October 2026. Sources on the following slides.

Singapore: Who Runs It, What It Makes, What It Has Been Through

WHO RUNS IT

HEAD OF GOVERNMENT
PM Lawrence Wong
(also Finance Minister)

HEAD OF STATE
President Tharman Shanmugaratnam

CENTRAL BANK
Monetary Authority of Singapore
MD Chia Der Jiun
Monetary policy steers the S$ exchange rate, not an interest rate

WHO OWNS IT AND WHAT IT MAKES

RICHEST (FORBES 2026)
Eduardo Saverin (Facebook co-founder, PR), US$32.9bn; top citizen family: Kwek Leng Beng (Hong Leong/CDL), US$16.1bn

KEY SECTORS
Finance and wealth management, semiconductors, trade and logistics

TOP FARM PRODUCTS
Minimal farming; imports most of its food

HISTORY OF SHOCKS

CRISES
No systemic banking crisis; recessions in 1985, 1998, 2001, 2009 and 2020

POLITICAL TURMOIL
None: the PAP has governed since 1959; separated from Malaysia in 1965

2026
Budget surplus; growth 6.1% in H1 on AI-related demand

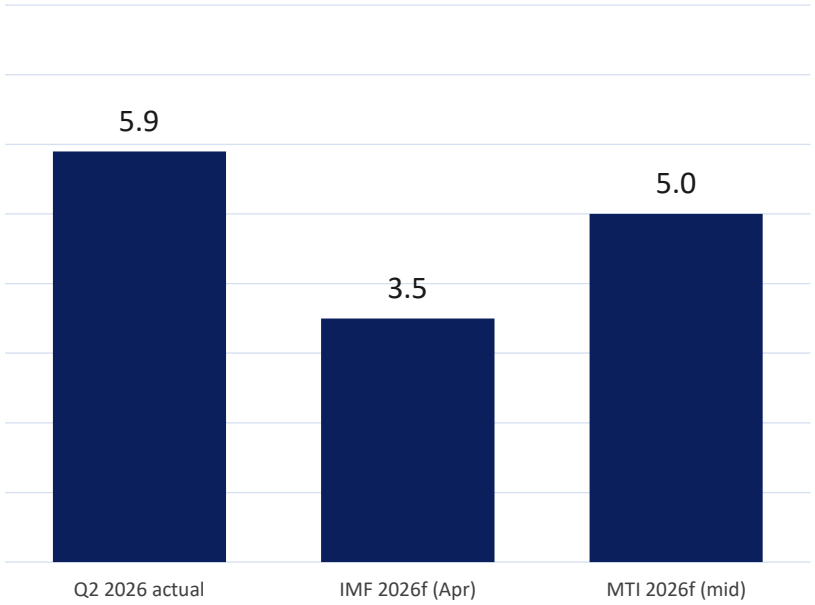
A rules-based financial hub with no history of systemic banking crises.

BBLAM

Sources: government and central bank sites; Forbes 2025–26 rich lists; IMF Laeven–Valencia crisis database; Reuters/AP; FAO/USDA.

Singapore: The Economy

REAL GDP GROWTH: LATEST ACTUAL VS 2026 FORECASTS, %



SIZE

US$660bn GDP (#2 of ASEAN-6); US$107,758 per head (#1 of ASEAN-6)

GROWTH ENGINE

Manufacturing (electronics, precision engineering), wholesale trade, finance and insurance

FISCAL

FY2026 surplus S$8.5bn (1.0% of GDP); budget balanced over each term of government

POLITICS · LOW RISK

Stable single-party government; policy continuity

OUR VIEW

Expect an IMF upgrade on 13 Oct: H1 6.1% vs IMF 3.5%; MTI already 4.5–5.5%

Growth is running well ahead of the IMF; public finances are in surplus.

BBLAM

Sources: IMF WEO Apr/Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; national statistics offices, finance ministries and central banks. Risk label and view are BBLAM's.

Singapore: Financial Markets

+22.0%

Index YTD

#2 of ASEAN-6

+79.6%

5 years (+12.4% p.a.)

#1 of ASEAN-6

+0.4%

SGD vs US$ YTD

#2 of ASEAN-6

+34bp

10Y yield YTD (2.45%)

smallest rise among ASEAN-6

>US$640bn

Market cap (May)

#1 of ASEAN-6

S$NEER

Exchange-rate policy

TOP-3 STOCKS AS % OF MSCI SINGAPORE INDEX



62%

DBS (Bank) 31% · OCBC (Bank) 20% · UOB (Bank) 10%

Sector: All three are Financials (banks)

BEST-PERFORMING SECTOR, YEAR TO DATE

Industrials

ST Engineering and Yangzijiang lead index earnings growth

KEY MARKET-STRUCTURE POINT

Singapore overtook Indonesia as ASEAN's largest exchange in May 2026; the STI behaves largely like a bank index.

The only market compounding over both one and five years; three banks are 62% of the MSCI index.

BBLAM

Sources: ADB DMW / AsianBondsOnline (1–2 Oct 2026); MSCI (30 Sep 2026); exchanges; central banks. Ranks among ASEAN-6. *Verify.

ASEAN PRIMER

Thailand



A low-growth economy with an AI-export upside and the region's best market in 2026.

US$580bn	1.9%	+24.2%	–6.5%
GDP 2026f · #3 of 6	GDP growth, Q2 2026	SET, year to date	Baht vs US$, YTD

Slow growth, tight fiscal room, but a strong market rebound led by AI-linked exporters.

BBLAM

Data as of 8 October 2026; market data to 1 October 2026. Sources on the following slides.

Thailand: Who Runs It, What It Makes, What It Has Been Through

WHO RUNS IT

HEAD OF GOVERNMENT
PM Anutin Charnvirakul
(re-elected 19 Mar 2026)

HEAD OF STATE
King Maha Vajiralongkorn (Rama X)

CENTRAL BANK
Bank of Thailand
Governor Vitai Ratanakorn
policy rate 1.00%

WHO OWNS IT AND WHAT IT MAKES

RICHEST (FORBES 2026)
Chalerm Yoovidhya and family (Red Bull), US$47bn;
Chearavanont (CP Group) #2 at US$36.6bn

KEY SECTORS
Autos and electronics, tourism, agri-food, energy

TOP FARM PRODUCTS
Rice, rubber (world #1), sugar, cassava, durian

HISTORY OF SHOCKS

CRISES
1983 banking crisis;
1997 Asian Financial Crisis began with the baht float on 2 July 1997

POLITICAL TURMOIL
12 successful coups since 1932 (latest 2006, 2014); several PMs removed by court rulings

2026
Re-elected coalition (~292 of 499 seats); US trade deal pending (12.5% tariff)

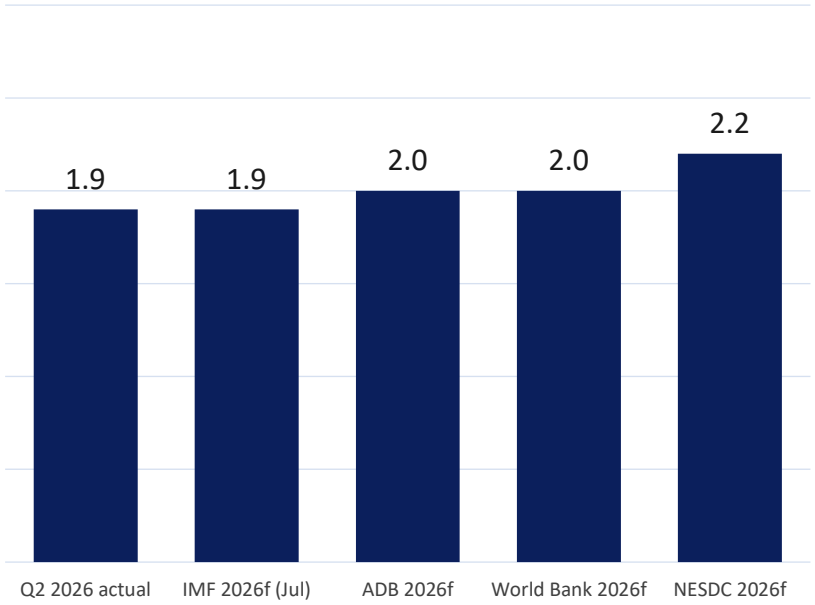
An export and agri-food economy with a long history of coups and court-led political change.

BBLAM

Sources: government and central bank sites; Forbes 2025–26 rich lists; IMF Laeven–Valencia crisis database; Reuters/AP; FAO/USDA.

Thailand: The Economy

REAL GDP GROWTH: LATEST ACTUAL VS 2026 FORECASTS, %



SIZE

US$580bn GDP (#3 of ASEAN-6); US$8,105 per head (#3 of ASEAN-6)

GROWTH ENGINE

Tech exports +14.8% and private investment +11.6% in H1; tourist arrivals –4.9%

FISCAL

Debt 66.9% of GDP vs 70% ceiling; FY2027 deficit THB 788bn; debt seen at 69.4%

POLITICS · STABILISED

The government has a parliamentary majority following years of political turnover, while uncertainty over the US trade agreement remains.

OUR VIEW

Modest IMF upgrade likely: H1 2.4% vs IMF 1.9%;
IMF names Thailand a top-4 AI hardware exporter

Growth stuck near 2% and only ~3 points of debt headroom: the private sector must lead.

BBLAM

Sources: IMF WEO Apr/Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; national statistics offices, finance ministries and central banks. Risk label and view are BBLAM's.

Thailand: Financial Markets

+24.2%

Index YTD

#1 of ASEAN-6

–4.9%

5 years (–1.0% p.a.)

#5 of ASEAN-6

–6.5%

Baht vs US$ YTD

#5 of ASEAN-6

+73bp

10Y yield YTD (2.39%)

#3 rise among ASEAN-6

US$590bn

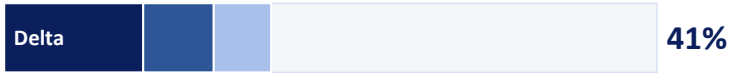
Market cap (≈THB 20tn, Aug)

#3 of ASEAN-6

1.00%

Policy rate (cut in Feb)

TOP-3 STOCKS AS % OF MSCI THAILAND INDEX



Delta (Electronics) 21% · PTT (Energy) 11% · ADVANC (Telecom) 9%

Sector: IT, Energy and Communication Services: the most diversified

BEST-PERFORMING SECTOR, YEAR TO DATE

Industrials & Resources

Outperformed the SET year to date (end-Aug)

KEY MARKET-STRUCTURE POINT

Foreign-driven market: foreign investors were 55.3% of trading volume in August; local retail 30.8%, local institutions 6.9%.

Best market in 2026, yet still below its level five years ago; Delta sets the direction.

BBLAM

Sources: ADB DMW / AsianBondsOnline (1–2 Oct 2026); MSCI (30 Sep 2026); exchanges; central banks. Ranks among ASEAN-6. *Verify.

ASEAN PRIMER

Vietnam



ASEAN’s fastest grower: FDI- and investment-led, with power now concentrated at the top.

US$527bn	9.0%	−2.0%	+1.2%
GDP 2026f · #4 of ASEAN-6	GDP growth, 9M 2026	VN-Index, year to date	Dong vs US$, YTD

The fastest-growing economy in ASEAN, now entering global emerging-market indices.

BBLAM

Data as of 8 October 2026; market data to 1 October 2026. Sources on the following slides.

Vietnam: Who Runs It, What It Makes, What It Has Been Through

WHO RUNS IT

PARTY CHIEF & PRESIDENT
To Lam (both roles since 7 Apr 2026)

PRIME MINISTER
Le Minh Hung (former central bank governor)

CENTRAL BANK
State Bank of Vietnam
Governor Pham Duc An (since 8 Apr 2026)
Policy Rate unchanged at 4.5%

WHO OWNS IT AND WHAT IT MAKES

RICHEST (FORBES)
Pham Nhat Vuong (Vingroup), US$37.5bn (Sep 2026), Southeast Asia's richest; family controls ~65% of Vingroup

KEY SECTORS
Electronics manufacturing (FDI), real estate, banks, steel

TOP FARM PRODUCTS
Rice, robusta coffee (world #1), cashews, black pepper

HISTORY OF SHOCKS

CRISES
1997 Asian Financial Crisis; 2022 run on Saigon Commercial Bank (>US$25bn bailout)

POLITICAL TURMOIL
No regime change since 1975; anti-corruption drive forced two presidents to resign (2023, 2024)

2026
Party Congress (Jan); new government (Apr); 10% growth target

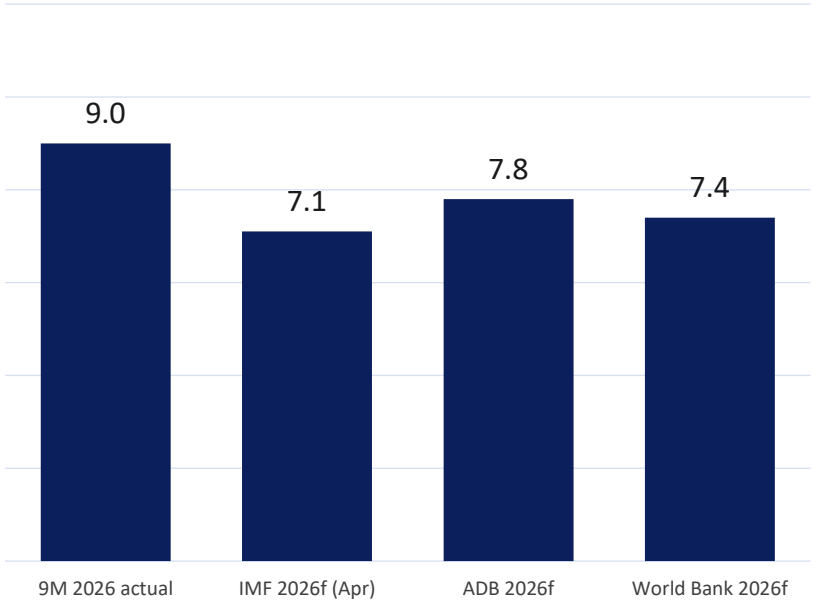
A one-party state reformed since Doi Moi (1986), now led by a single dominant leader.

BBLAM

Sources: government and central bank sites; Forbes 2025–26 rich lists; IMF Laeven–Valencia crisis database; Reuters/AP; FAO/USDA.

Vietnam: The Economy

REAL GDP GROWTH: LATEST ACTUAL VS 2026 FORECASTS, %



SIZE

US$527bn GDP (#4 of ASEAN-6); US$5,115 per head (#5 of ASEAN-6)

GROWTH ENGINE

Investment and manufacturing exports: investment +15.2% in H1; registered FDI US$50.4bn in 9M, +76%

FISCAL

Public debt ~36–37% of GDP vs 60% cap; 2026 deficit 4.2%; the constraint is disbursement speed

POLITICS · CENTRALISED

Faster decisions under To Lam; key-person risk

OUR VIEW

Clear IMF upgrade likely: 9M 9.0% vs IMF 7.1%

Growth near 10% is far above every forecast; low public debt leaves room to invest.

BBLAM

Sources: IMF WEO Apr/Jul 2026; ADB ADO Sep 2026; World Bank EAP Oct 2026; national statistics offices, finance ministries and central banks. Risk label and view are BBLAM's.

Vietnam: Financial Markets

–2.0%
Index YTD
#3 of ASEAN-6

+25.7%
5 years (+4.7% p.a.)
#2 of ASEAN-6

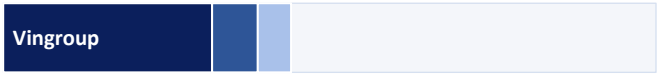
+1.2%
Dong vs US$ YTD*
#1 of ASEAN-6

+43bp
10Y yield YTD (4.47%)
#5 rise among ASEAN-6

US$410bn
Market cap (all venues, Jun)
#5 of ASEAN-6

4.5%
Refinancing rate*

TOP-3 STOCKS AS % OF MSCI VIETNAM INDEX



Vingroup (Conglomerate) 32% · Vinhomes (Property) 7% · Hoa Phat (Steel) 5%

Sector: Two Real Estate (Vingroup group) + one Materials (steel)

BEST-PERFORMING SECTOR, YEAR TO DATE

Real estate
Vingroup and Vinhomes: ~70% of the market's H1 gains

KEY MARKET-STRUCTURE POINT

FTSE upgrade to Secondary Emerging from 21 Sep 2026, phased in four tranches to Sep 2027. Retail-led market: foreigners only ~10–15% of trading.

Flat index this year despite booming growth; FTSE inclusion brings gradual passive inflows.

BBLAM

Sources: ADB DMW / AsianBondsOnline (1–2 Oct 2026); MSCI (30 Sep 2026); exchanges; central banks. Ranks among ASEAN-6. *Verify.


BBLAM